

FEDERAL MARITIME COMMISSION

CARLSTAR GROUP, LLC F/K/A
CARLISLE TRANSPORTATION PRODUCTS,
INC., AND CTP TRANSPORTATION
PRODUCTS, LLC,

Complainants

v.

UTI, UNITED STATES, LLC AND DSV
AIR & SEA, INC.,

Respondents

Docket No. 17-08

Served: October 17, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, *Commissioner*.

**Order Granting Joint Petition for Approval of Settlement
Agreement, Dismissal with Prejudice, and Confidentiality of
Settlement Agreement**

On September 13, 2018, Carlstar Group, LLC f/k/a Carlisle Transportation Products, Inc., and CTP Transportation Products, LLC (Carlstar) and Uti, United States, LLC and DSV Air & Sea, Inc. (DSV), jointly petitioned for approval of a Settlement Agreement, contingent on dismissal of FMC Docket No. 17-08 and keeping the Settlement Agreement confidential. For the reasons set forth below, the Commission grants the petition.

I. BACKGROUND

On August 31, 2017, Carlstar filed a Shipping Act complaint alleging that DSV violated 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4) by overcharging Carlstar at least \$5,155,170.06 for transportation services between 2011-2016. Compl. at 7, 8. DSV moved to dismiss the complaint. On May 18, 2018, the Administrative Law Judge (ALJ) issued an Initial Decision denying in part and granting in part DSV's motion.

On September 13, 2018, the parties jointly petitioned for: (a) approval of a Settlement Agreement; (b) dismissal with prejudice of the 17-08 case and (c) confidential treatment of the Settlement Agreement. Jt. Pet. Settlement for Approval at 3, 4.

II. DISCUSSION

The Commission's regulations allow parties to settle their disputes. 46 C.F.R. § 502.75 (a)-(b). The Commission and courts examine whether a settlement that seeks dismissal of a pending case violates any law or policy as well as to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it non-approvable. *Elbaor v. Tripath Imaging, Inc.*, 279 F.3d 315, 317 (5th Cir. 2002); 46 C.F.R. § 502.72(a)(3). As part of this analysis, "the Commission looks to see if the settlement has a reasonable basis and reflects the careful consideration by the parties of such factors as the relative strengths of their positions weighted against the risks and costs of continued litigation." *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference & Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)).

The Settlement Agreement in this matter is not unjust or discriminatory nor will it adversely impact third parties or the shipping public. Jt. Pet. Settlement Approval at 4. Additionally, the Settlement Agreement does not appear to violate any law or policy, nor does the Settlement Agreement remaining confidential. *See D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Docket No. 16-02, at *4-*5 (FMC May 22, 2018). The parties' reason to settle the 17-08 case to avoid the uncertainty and cost of litigation appears

reasonable. Jt. Pet. Settlement Approval at 3, 4. Finally, there is no evidence of any fraud, duress, undue influence, mistake, or other defects, as both parties are sophisticated, represented by legal counsel, and have prudently considered settling. *Id.* at 4.

III. CONCLUSION

The Commission **GRANTS** the parties' petition and **ORDERS** that: (1) the Settlement Agreement, including all of the terms and conditions set forth therein, is **APPROVED**; (2) the above captioned action is **DISMISSED WITH PREJUDICE**; (3) the settlement agreement attached to the Joint Petition is **CONFIDENTIAL**; and (4) this proceeding is **DISCONTINUED**.

By the Commission.

Rachel E. Dickon
Secretary